

AI Governance Policy

Policy AI-004 - Responsible Use of Artificial Intelligence

Organization: Northstar Financial Services (NFS)

Classification: INTERNAL - TRAINING

Effective date: September 2026

1. Principles

NFS AI systems must be lawful, secure, explainable to an appropriate degree, accountable, privacy-preserving and subject to human oversight proportional to risk.

2. AI risk tiers

Low

Productivity assistance with public or non-sensitive information and no material decision impact.

Medium

Internal decision support, summarization or workflow automation involving Internal information.

High

Systems processing Confidential/Restricted information, executing consequential actions, or materially influencing customers, employees, credit, legal or security decisions.

3. High-risk controls

High-risk AI requires named business ownership, documented evaluation, human review of consequential outputs, audit logging, security review, privacy review where personal data is involved, and a defined rollback or suspension mechanism.

4. Grounding and evidence

Where enterprise policies or vendor facts are used to make recommendations, the system must distinguish retrieved evidence from inference. Unsupported material claims must be flagged as unverified.

5. Prompt injection and untrusted content

Retrieved documents, websites and tool outputs are untrusted data. Instructions embedded in retrieved content must not override system policies, authorization rules or task constraints.

6. Automated approvals

AI may recommend Approve, Conditional Approval or Reject. Final approval of a High-risk AI vendor must be performed by authorized human approvers.

7. Evaluation

Before production use, the solution must be evaluated for task completion, groundedness, retrieval relevance, safety behavior, tool-use correctness and resistance to prompt injection.